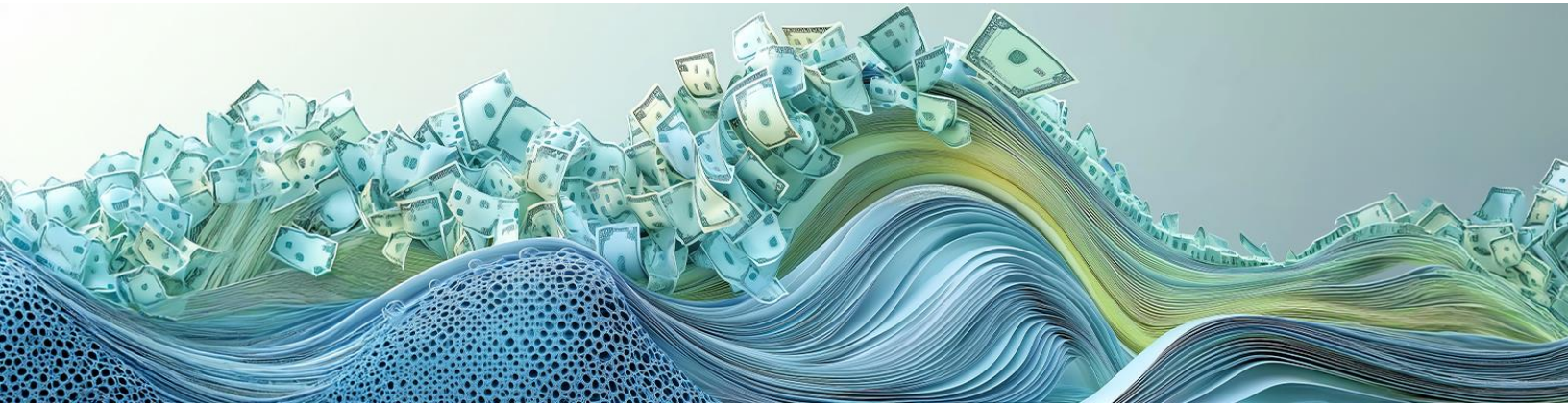




From Cash Hoard to Strategic Liquidity

Putting Idle Business Cash to Work

Over the past several years, many business owners responded to uncertainty by holding more cash. That was understandable. Higher interest rates finally rewarded savers, borrowing costs rose, recession fears lingered, and many executives wanted a larger buffer against supply-chain interruptions, cost inflation, or sudden policy changes.

But conditions are changing. In 2026, the challenge for many firms is no longer whether to hold cash. It is how much cash is truly necessary, and what to do with the excess once operating needs are covered.

UBS argues that lower interest rates increase the need for investors to put excess cash to work, including by phasing liquidity into diversified portfolios, quality bonds, select credit opportunities, and equity-income strategies. Merrill's 2026 investment outlook makes a similar point, encouraging investors to move excess cash into risk assets and fixed income of reasonable duration while maintaining diversified positioning. For business owners, this guidance is especially relevant because idle cash carries an opportunity cost. Cash may feel safe, but if too much of it sits unallocated for too long, it can erode real purchasing power, weaken long-term returns, and leave both the business and the owner underinvested during a period of selective opportunity.

The answer is not to eliminate cash reserves. It is to treat liquidity as a strategic asset with defined roles.

An advisor's framework typically separates cash into three tiers: operating liquidity, contingency liquidity, and strategic or opportunistic liquidity. Operating liquidity is the amount needed for normal expenses, such as payroll, rent, inventory, taxes, and vendor obligations. Contingency liquidity is the reserve that protects the business from disruption, including slower receivables, margin compression, policy

shocks, or revenue interruptions. Strategic liquidity is the portion above those two levels that can be invested or deployed to pursue growth, improve income, or take advantage of market dislocations.

First Citizens recommends that owners implement stress-tested financial plans, model slower growth and higher costs, and preserve enough liquidity to avoid reactive decisions during volatility. That guidance matters because many businesses still face uneven demand, tariff-related uncertainty, and elevated financing pressure, even as the broader economy remains resilient.

A company with highly predictable revenue may need a smaller contingency reserve than a seasonal business, a company dependent on one large customer, or a firm in a cyclical industry. The right liquidity level should be driven by cash-flow variability, debt structure, customer concentration, and how quickly management can reduce costs if conditions deteriorate.

Once liquidity tiers are defined, the next question is how to put excess cash to work without limiting flexibility. For many owners, a practical starting point in 2026 is high-quality fixed income. Quality bonds can provide income, diversification, and a more productive use of cash than waiting in low-yield vehicles, especially if policy rates gradually move toward more neutral levels. Short-duration bond ladders may be especially useful because they stagger maturities, reduce duration risk, and create a natural schedule for reinvestment.

That structure can be appealing for both corporate reserves and personal accounts tied to near-term spending needs.

A ladder approach also supports decision-making discipline. Instead of trying to identify the perfect entry point, owners can deploy cash in stages as bonds mature, rates move, or capital needs evolve. This is consistent with UBS's recommendation to phase excess liquidity into diversified portfolios rather than making a single all-or-nothing move. It also reflects a broader advisor principle: liquidity strategy should reduce decision pressure, not increase it.

Some owners may also benefit from separating business cash from personal excess liquidity more clearly. A common planning weakness occurs when owners keep too much cash inside the company because it feels more accessible or more productive there, even when the cash is not needed for business purposes. That can blur the distinction between corporate working capital and family wealth.

First Citizens emphasizes the need to coordinate business and personal finances, strengthen personal liquidity, and avoid allowing short-term business challenges to spill into household planning. For many executives, this means creating parallel liquidity structures: one for the company's operational resilience and another for the household's spending, taxes, and investment strategy.

The personal side matters because owners often underestimate how much hidden illiquidity already exists in their lives. Their business is illiquid. Their commercial real estate may be illiquid. Equity compensation or deferred compensation may come with restrictions. If too much remaining capital stays in cash, the portfolio may become both under-diversified and underproductive. But if too little liquidity is retained, market volatility can force selling at unfavorable times.

Strategic liquidity is about finding the middle ground, where cash supports flexibility without dominating the balance sheet.

Guidant's 2026 small-business survey reinforces why this balancing act matters. Cash flow and access to capital ranked among the top operating challenges for respondents, while inflation remained a major concern even as it eased from prior peaks. At the same time,

owners are still pursuing growth, with 44.6% planning to increase staff, 38.6% investing in digital marketing, and 18.7% planning to invest in AI resources. In practical terms, many firms need enough liquidity to stay resilient, but also enough investment income and capital efficiency to support reinvestment plans. Excess cash that earns too little may weaken both goals.

From an advisor's perspective, implementation should be straightforward and rules-based. Start by projecting at least 12 months of business cash inflows and outflows under base, stress, and severe-stress scenarios. Define the minimum operating and contingency reserves needed under those conditions. Move only the surplus above that level into a strategic pool. Then assign that pool by time horizon: immediate opportunity capital, one- to three-year capital that may suit short-duration bonds or ladders, and longer-horizon capital that can be phased into diversified investment portfolios.

This approach is also useful during periods of policy-driven uncertainty because it prevents one common error: treating all liquidity as identical. Not every dollar of cash needs to remain instantly accessible, and not every dollar should be exposed to equity-market risk. When liquidity is segmented thoughtfully, owners gain resilience while improving the potential for long-term investment outcomes. They can meet obligations, withstand shocks, and still position excess capital for potential long-term growth, subject to market risks.

The broader lesson is that liquidity should be intentional. Holding cash is not a strategy on its own. It is a temporary state that should serve a specific purpose.

In 2026, effective business owners will know how much liquidity they need, why they need it, and when surplus cash should be redeployed into higher-value uses. Done well, strategic liquidity is not merely defensive. It can become a quiet engine of flexibility, confidence, and long-term financial objectives.

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